LONG FTAI (NASDAQ:FTAI) | Target Price: $188 | Upside: 11% | 12M Horizon

Recommendation: We recommend long FTAI Aviation with a 12-month target of $188 (+11%) against the 9 Oct 2026 close of $169.97. The stock is 47% below its February high and trades at 10.5x FY27 consensus EV/EBITDA, in line with the 10.5x Tier 1 MRO peer median, because 2026 looked like a broken story: Aerospace margins fell from 35% to 29%, Leasing and free-cash-flow guidance were cut, and the first Power delivery slipped into 2027. We think the price discounts the 2027 guide plus about 6% a year, with Aerospace EBITDA per module falling to $0.63M by FY30, 25% below the weakest quarter FTAI has reported. Our Base holds per-module EBITDA at $0.82M on volume that grows to 2,450 modules by FY30 and treats Power as a customer-prepaid option rather than a second Aerospace business. The probability-weighted value is $188 on 25/50/25 Bull/Base/Bear weights ($243 / $194 / $121). We say plainly that reward-to-risk is 0.37x on those weights: the Bear case assumes a 9% module miss and per-module EBITDA of $0.74M, below anything FTAI has printed, and the Q3 results on 29 October test it first.

Business Overview: FTAI rebuilds, exchanges and leases CFM56 engines, the most-produced commercial jet engine, with about 28,000 in service on older 737s and A320s. A jet engine is built from a few large modules; FTAI's main product is a module exchange: an airline hands over a worn module and receives a refurbished one at a fixed price instead of a months-long shop visit. The used engines FTAI takes apart to make those modules are its feedstock. Three businesses: Aerospace Products (guided to $1.05B of 2026 adjusted EBITDA on 1,200 modules and $1.4B on 1,700 in 2027, against 3,000 modules of capacity; Q2 2026 revenue $875M at a 29% margin); Aviation Leasing and Strategic Capital (guided to $475M in 2026, cut from $575M, and $450M in 2027), which is moving from an owned fleet, down from 312 engines to 176 in 18 months, into outside-funded vehicles (SCI) that FTAI manages, co-invests in at 19% and 15% and services exclusively, about 20% of Aerospace revenue; and FTAI Power, which converts a CFM56 into the Mod-1, a 25MW trailer-mounted gas turbine for data centers, sold through J&F Power Systems, a joint venture with China's Jereh Group. The first order, $1.465B in July 2026, belongs to the JV; 2027 Power EBITDA is guided to $450M on "materially less" than 100 units.

Price (9 Oct 2026)	Market cap / EV	Net debt	EV/EBITDA FY26E / FY27E	1BF / 2BF	52-week range	Street ratings
$169.97	$17.4bn / $20.7bn	$3.2bn	15.8x / 10.5x	11.9x / 9.1x	$149.50 to $323.51	11 Buy / 0 Hold / 0 Sell

Industry Overview: FTAI competes in the CFM56 and V2500 engine aftermarket, about $25B a year, in which it holds a 14% share and targets 25%+, against OEM networks (GE/CFM, Safran), independent MROs (StandardAero, AAR, MTU) and airlines' own shops. Three forces make the market tight. Replacement aircraft are late: Airbus is sold out to about 2032 and LEAP overhauls will not match CFM56 volumes until about 2030, so operators keep CFM56 jets flying. Few engines are retired: GE now expects 1.5 to 2% of the fleet a year, down from 3 to 4%, and calls used-part supply "limited," while about 1,200 CFM56 aircraft sit parked rather than torn down. Shops are full: GE expects 2,300 to 2,400 CFM56 shop visits in each of 2026 and 2027 and calls its network "oversubscribed." Peers are using the squeeze to raise prices: StandardAero's engine-services margin hit a record 14.5% in Q2 2026. In Adams's words, "the CFM56 market is supply constrained, not demand constrained." A second market opened in 2025: AI data centers that cannot wait five to seven years for a grid connection are buying on-site gas turbines, over 12GW announced by mid-2026 from under 3GW at the start of 2025. Frame turbines are sold out, with GE Vernova booking slots four to five years out, so units built from jet engines fill the gap (ProEnergy has sold more than 1GW of converted CF6s). That is Mod-1's market, and it is crowding fast: GE Vernova booked 61 aeroderivatives in one quarter and Siemens placed 119 mobile cores.

Thesis 1: FTAI is an allocator of scarce engines, not a repair shop. Engines are the binding input, and FTAI's own feedstock is used up: engines from its lease fleet were 83% of feedstock in 1H25 and 19% in 1H26, while cash paid for engine inventory rose from $25.7M to $356.7M (Figure 2). FTAI can send each engine to one of three uses, and management's own numbers rank them. In Aerospace, Adams's illustration is a $6M rebuild earning $2.5M and a $12M full restoration earning $3M. In Power, the $450M 2027 guide on about 50 units is roughly $9M of EBITDA per unit, with one CFM56 per unit (our estimate; FTAI has not disclosed a unit price). Leasing is the lowest use and is being run down. An engine therefore earns about three times more as a Mod-1 than as a rebuild (Figure 3), which explains three moves the Street treats separately: why "all" module capacity now goes to third parties and Leasing guidance was cut $100M; why management accepts 30% margins and says "we're inclined to say yes and take market share"; and why it added $150M to speed up the Mod-1 build after a single order. The scarcity that squeezes Aerospace margins is the same scarcity that makes FTAI's engines worth more in Power. The overlap we concede is in parts: Adams named HPT blades as Power's biggest constraint, the same hot-section material module exchange consumes; FTAI's FAA-approved PMA blade is the mitigant.

Figure 1. Aerospace adj. EBITDA per module, $M

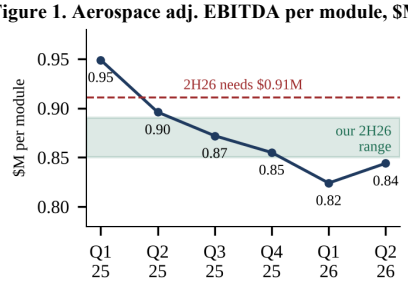


Figure 2. Engine feedstock by source, $M

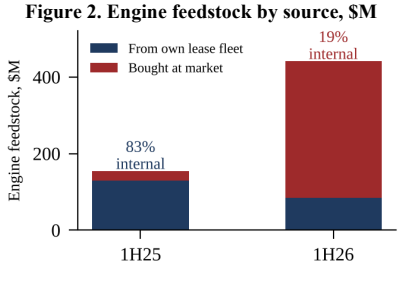
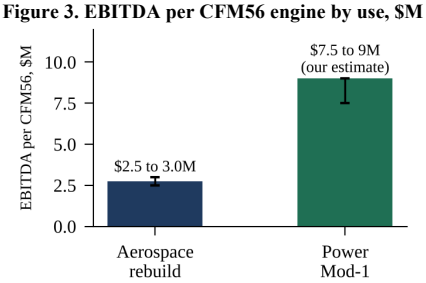


Figure 3. EBITDA per CFM56 engine by use, $M



Thesis 2: The margin decline is input cost, not mix, and 30% is the level. Management attributes "most" of the compression from 35% to 29% to heavier work scopes. Our data say otherwise. EBITDA per module fell from $0.95M in Q1 2025 to $0.84M in Q2 2026 (Figure 1), yet in management's own example heavier work earns more dollars per engine. Growth came from the lighter-work shops: Montreal, which runs the heaviest scopes, made 56% of modules in Q1 2025 and 38% in Q2 2026. Cost of sales per module rose 20% in a year against 11% for revenue per module, and peers expanded margins in the same market. Our reading is pricing to win share plus feedstock bought at market, so we model no recovery toward the 40% promised in February, only the 30% management now says it will hold. The near-term test is unforgiving: the $1,050M 2026 Aerospace guide needs $0.911M per module in 2H26 against $0.82M and $0.84M in the first two quarters; we expect $0.85 to $0.89M, a 1 to 4% miss, and the Q3 print on 29 October (consensus $0.88M) is the first reading. Each $0.01M of per-module EBITDA from FY27 on is worth about $2.27 a share. The 2027 guide is not at risk on this measure: 1,700 modules at today's $0.84M is $1.43B, above the $1.4B guided, which is why our Base runs on volume (2,450 modules by FY30 toward the 25% share target) at a flat $0.82M.

Thesis 3: Power is a funded option, and the market pays a repair-shop price for it. Valuing Aerospace and Leasing at peer multiples leaves about $5.6B of FTAI's $20.7B enterprise value, roughly $54 a share, for Power: about 12.4x the $450M 2027 guide. We think that is a fair price for an option the customer is funding. The order came with "a significant advance payment at signing" and milestone payments, so "the customer is funding the production ramp as we go." The guide is deliberately low: "$450 million does not assume 100 units; it is materially less," the bottom of a $450 to $750M range, and "as we sign additional customers, we expect to raise that number." On BTIG's $25M per unit the order implies 40 to 60 units at $590 to $980 per kW, inside the $800 to $1,200 per kW band for gas turbines, so Mod-1 wins on 2027 delivery and mobility rather than price. We model 50 units in

2027 at a 30% margin, growing 15% a year to 76 by FY30, with no re-rating. What we do not know we size rather than assume: FTAI has never disclosed its share of J&F, Jereh calls J&F its "controlling subsidiary," and FTAI books only the turbine sale to the JV plus a minority share of JV profit, so a smaller stake cuts Power earnings, not revenue.

Valuation: Our unlevered DCF (Q4 2026 stub through FY30, mid-year convention) takes total adjusted EBITDA from the $2.11B 2027 guide after corporate costs to $2.96B in FY30: Aerospace $2.02B on 2,450 modules at $0.82M, Leasing and SCI flat at $450M, Power $684M on 76 units, less $160M of corporate costs. It uses an 8.82% WACC (risk-free 5.28%, beta 1.0, Damodaran ERP 4.23%) and a 10.5x FY30 exit multiple, the Tier 1 median and roughly today's multiple, so no re-rating is needed; a 2.5% Gordon growth rate is the cross-check. Capex of $150M a year, SCI co-investment of $260M in 2027 and the $2.00 dividend are in. The Base DCF gives $207; FY27 Tier 1 comps give $181; the 50/50 blend is $194. Weighting Bull, Base and Bear 25/50/25 gives the $188 target (Figure 5). The reverse DCF says $169.97 needs the 2027 guide plus 6.1% a year, or $2.52B of FY30 EBITDA, which the Street already has for FY28; the sharper reading is that the price implies $0.63M of Aerospace EBITDA per module by FY30. We state the weak points openly: terminal value is 81% of enterprise value; the DCF and forward-year comps carry the upside while the SOTP ($155) and 1BF comps sit below the price; and at 11.9x 1BF FTAI already trades at a small premium to the 10.5x peer median, which we accept for 31% EBITDA growth against 8 to 13% for the peers.

Figure 4. Football field ($ per share)

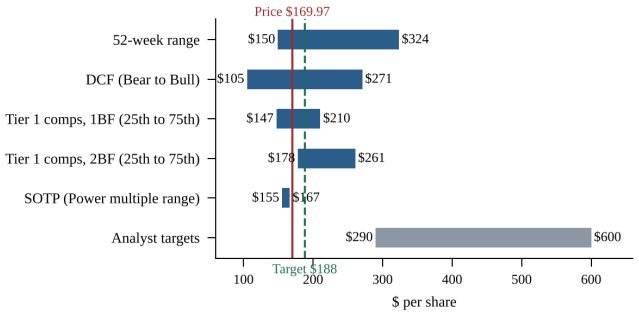


Figure 5. Scenarios and target build

Scenario	Prob.	DCF	Comps	Blend
Bull: 2,800 modules by FY30 at $0.88M; 75 Mod-1 units in 2027	25%	$271	$215	$243
Base: 2,450 modules at $0.82M; 50 units	50%	$207	$181	$194
Bear: 1,700 modules at $0.74M; 30 units, no growth	25%	$105	$137	$121
Probability-weighted target		$198	$179	**$188**
Upside / Bear downside / reward:risk			+11% / −29%	0.37x

Comps: Tier 1 median EV/EBITDA (StandardAero, AAR, MTU, HEICO) on each scenario's FY27 EBITDA. Power EBITDA per unit $9M in Bull and Base, $7.5M in Bear; one CFM56 per unit.

Event Path & Catalysts: (1) Q3 2026 results, 29 Oct 2026: Aerospace EBITDA per module (we expect $0.85 to $0.89M against $0.88M consensus), the 2H inventory release showing in cash flow, and the Mod-1 delivery date. (2) Q4 2026: commercial launch and the first Mod-1 delivery; any disclosed $/kW tests our $590 to $980. (3) FY26 results and 2027 guidance, February 2027: Power $450M and Aerospace $1.4B reaffirmed, adjusted FCF against the $878M guide, and the first disclosure of FTAI's J&F stake in the 10-K. (4) Through 2027: new Mod-1 orders beyond the first $1.465B, SCI II closing at or near $6B, and GE's expected rise in CFM56 retirements to 3 to 4%, which eases feedstock from 2H27.

Key Risks & Mitigants:

Risk	What could go wrong	Mitigant
Feedstock cost and supply	Cash paid for engine inventory rose 13.9x in a year; GE puts retirements at 1.5 to 2% and used-part supply "limited," so cost per module keeps rising into 2027.	GE expects 3 to 4% retirements in 2027; three of five targeted PMA parts are approved, carrying about 80% of the targeted savings. Base holds $0.82M per module with no recovery; Bear takes it to $0.74M.
Guidance credibility	Two cuts in 2026 (Leasing $575M to $475M, adjusted FCF $915M to $878M) and a 40% margin promise delivered at 29%.	2027 Power guidance is sized on the contracted slate and "does not assume 100 units." We exit on a third cut, or on Q3 per-module EBITDA below $0.85M with margin under 28%.
J&F is Jereh-controlled	The stake is undisclosed; Jereh calls J&F its "controlling subsidiary," so FTAI keeps the turbine transfer price plus a minority share of JV profit, and a Chinese-controlled packager serving a U.S. hyperscaler invites tariff or CFIUS questions.	Equipment sale with milestone prepayments and a clawback capped at 10%; Jereh has North American assembly. We value Power on the $450M guide, never on the $1.465B order; 12.4x is the market's price, not ours.
Mod-1 durability and parts overlap	Bridge-power terms run five to seven years and the aeroderivative segment is crowding; Power and Aerospace both need scarce HPT blades.	Units grow only 15% a year to 76 by FY30; Bear holds 30 units flat and still values the stock at $121. At 50 units Power takes about 9% of annual CFM56 part-outs, against the 35% flag in our model.

Sources: FTAI FY2025 Form 10-K and 10-Qs for Q1 and Q2 2026 (Note 2, investments and affiliate notes); FTAI Q4 2025, Q1 2026 and Q2 2026 earnings calls, releases and supplements; FTAI press release of 22 Jul 2026; Jereh investor communication (22 Jul 2026); GE Aerospace IR (6 May 2026); Aviation Week (5 Jan and 22 Sep 2026); Leeham News (16 Jul 2026); StandardAero Q2 2026 call; Barron's (7 Jan 2026, BTIG estimate); Bloomberg (price, consensus, peers, 9 Oct 2026); Damodaran (ERP). Items marked our estimate are ARN calculations. Public sources only; no contact with the company. Not investment advice.

Model: Link to ~~Model~~